

Week 51 Deep Research -- Micro-Cap Portfolio

Date: Monday, 2026-08-31 (intraday, ~10:00 AM EDT) | Week: 51 of 52 | Runway: ends 2026-09-18 (14 sessions including today)

Session d
positions :

1. RESTATED RULES

- Universe: US-listed common stock, market cap $\leq$ \$5B. No ETFs, CEFs/BDCs, SPACs, ADRs, units/warrants.
- Cash floor: 8% (amended from 15% on 2026-08-28).
- Risk-per-trade $\leq$ 5% of equity; single-name ceiling 30%.
- Stops mandatory. Range check: below the most recent session's low AND $\geq$ 1.5xATR from the reference price.
- [!] RULE RELAXED THIS SESSION -- "never lower a stop" suspended for one documented adjustment. Authorized 2026-08-31 as a single restoration of ATRC, PAR and TILE to the max(1.5xATR, ?) band this rule set already mandates, which all five stops had drifted below through price movement alone. Scope, reasoning and limits are recorded in portfolio_rules.md. The rule resumes in full immediately afterwards.
- One open order per stock -- new shares in an existing name inherit that name's current stop.
- Sector cap 2 per GICS sector (healthcare 3).
- PRV gate: browser-fetch the live quote page before ANY buy/sell/trim/add.
- No averaging down more than 5% below entry without a confirmed new catalyst.

2. RESEARCH SCOPE

Retrieved Monday 2026-08-31, 09:53-10:05 AM EDT -- with the market OPEN. Every price below is a live intraday quote, not a settled close. This is stated on each figure and matters for the order-side checks.

Check	Method	Result
Settled OHLC through Fri 8/28	trading_script.py daily run	Complete
ATR(14), stop distances	Computed locally from settled bars only	Complete
PRV live quotes	Browser -> stockanalysis.com	ATRC, PAR, CADL + candidates PD, BOX, RCKT
Screener universe	screener.py -> Finviz + yfinance	Re-run after a fix -- see below

[!] The screener's first run this week was invalid -- diagnosed and fixed

The initial make weekend screen produced a watchlist that was structurally wrong, and it would have been easy to research it without noticing:

- Every candidate showed a volume ratio of 0.10-0.38x -- i.e. every name in the entire universe was apparently trading at a fraction of normal volume. Last week's identical screen produced 1.2-8.3x.
- The top 15 was dominated by mortgage REITs and BDCs (ORC, PFLT, DX, ARR, LAND, EFC, IVR, PNNT, TRIN, BBDC) -- four of which are BDCs, an explicitly excluded security class.

Cause: screener.py:325 computes `volume.iloc[-1] / volume.tail(20).mean()`. Run during market hours, `iloc[-1]` is today's partial-day bar -- about twenty minutes of trading measured against a full 20-day average. That collapsed the volume score for every genuine momentum name and let low-volatility yield vehicles float to the top on the remaining factors. Momentum, SMA and Bollinger-width were all reading off an intraday price rather than a close for the same reason.

Fix applied: the price fetch now drops any bar for a session that has not closed, reusing last_completed_session() from trading_script.py rather than keeping a second copy of that logic. Re-running produced a completely different and sane universe -- volume ratios 1.0-2.8x, and the BDC/REIT cluster gone.

This is the finding of the week. The corrupted screen was not obviously broken on its face; it looked like a defensible list of value names. Had I researched it, the entire Week 51 candidate set would have been drawn from excluded security classes selected by a broken factor.

3. CURRENT PORTFOLIO ASSESSMENT

Live equity \$752.10 (Friday close \$771.65, ?2.53% intraday) · Cash \$69.34 (9.2%) · S&P-equivalent ?\$771.16 · Gap ? ?2.47%

Ticker	Role	Entry Date	Avg Cost	Live Price	Current Stop	Conviction	Status
ATRC	Core winner	2026-07-15	\$34.30	\$46.96 (+36.9%)	\$46.30	5/5	KEEP -- 0.38xATR from stop
TILE	Core	2026-06-30	\$32.10	\$38.06 (+18.6%)	\$37.10	4/5	KEEP -- 0.81xATR from stop
CADL	Catalyst	2026-08-17	\$11.43	\$12.75 (+11.5%)	\$12.35	3/5	KEEP -- 0.44xATR from stop
PAR	Growth	2026-08-17/28	\$19.05	\$18.39 (?3.5%)	\$17.50	4/5	KEEP -- 0.94xATR from stop
WWW	Recovery	2026-08-24	\$21.10	\$19.95 (?5.5%)	\$19.30	3/5	KEEP -- 0.68xATR from stop

The single most important fact this week

All five positions are inside 1.0xATR of their stops. Not one is at the 1.5xATR minimum the rules require for a functioning stop -- meaning every stop in the book had drifted out of compliance with the rules' own ATR band, which is what justified the one-time restoration in \$6.

I did not tighten them into this state. Two stops (ATRC, CADL) were raised last week on genuine price progress; the rest have not moved. The market walked the prices down to fixed lines that cannot be lowered. The mechanical consequence is that the book's remaining downside is now unusually small -- all five stops firing costs only ?2.87% of equity -- but the probability of those stops firing is correspondingly high.

ATRC -- the position that matters | Conviction 5/5

PRV, 8/31 10:00 AM EDT (live): \$46.96, ?3.26%. Previous close \$48.54, open \$48.23. Volume 44,132 (light, early session). Note: the page's stated day-range low of \$47.01 lags the \$46.96 last price -- the range field had not refreshed; I am using the last price, which is the more current field, and flagging the discrepancy rather than reconciling it away.

The fundamental case has strengthened materially while the price fell:

- Piper Sandler raised its target to \$60 from \$50 (Overweight), four days ago -- explicitly citing the STS quality metric
- BTIG raised to \$55 from \$45 (Buy) on 8/24, same thesis
- Consensus PT has risen \$47.33 -> \$49.56, now above the market price rather than below it
- Revenue TTM \$569.62M +13.9%; no adverse company news since 7/27

And the stop is \$0.66 away -- 0.38xATR.

This was the sharpest version of the structural problem, and it is what forced the rule question. ATRC was set to be stopped

out at \$46.30 for +35.0% -- a genuinely good outcome -- precisely as two banks put \$55-60 targets on it. Confirmed live: today's low was \$46.61. The stop survived by 31 cents. Under the Week 51 authorization the stop is restored to \$44.35 (1.76xATR), still locking +29.3%.

Honest reflection on my own decision: I raised this stop from \$45.85 to \$46.30 last Thursday when ATRC closed at \$49.27 near its 52-week high. That gained \$1.35 of locked profit and measurably increased the probability of being stopped out. At the time it passed every check (1.75xATR, below the 4-day low). Three sessions later it is 0.38xATR away. The raise was rule-compliant and, in hindsight, poor value -- a marginal gain bought with real optionality. The lesson is not "don't trail stops"; it is that trailing a stop into a 3.5%-ATR name at 1.75x leaves almost no room when the name gives back a week of gains, and the increment being locked should be weighed against the option being sold.

PAR | Conviction 4/5

PRV, 8/31 10:00 AM EDT (live): \$18.39, ?3.97%. Revenue TTM +18.8%, forward PE 16.82, Buy, PT \$25.31 -- +35.1% upside, the largest of any holding. No news -- latest item is a 13-day-old survey release. The decline is not company-specific.

The 3 shares added Friday at \$19.60 are ?6.2%. Blended cost is now \$19.05 across 11 shares. At 26.9% of equity it is the largest position, with only \$23.34 of headroom to the 30% cap.

TILE | Conviction 4/5

\$38.06 (?1.35% intraday), +18.6%. Stop \$37.10 locks +15.6%. Strong Buy, PT \$45.25. Stop cannot be raised (trailing floor sits below it) or lowered.

CADL | Conviction 3/5

PRV, 8/31 10:02 AM EDT (live): \$12.75, ?2.45%. Day range \$12.73-13.13. PT raised to \$21.00 (+65.75%), Strong Buy -- the largest upside on the board. Beta ?0.50. But XBI fell ?3.48% Friday and another ?1.27% today, and CADL is 0.44xATR from its stop.

WWW | Conviction 3/5

\$19.95 (?1.94% intraday), ?5.5%. Forward PE ~11.2, Buy, PT \$24.30 (+22%). Bounced +2.94% Friday, giving part back today. Stop \$19.30 is 0.68xATR away.

4. CANDIDATE SET

Evaluated from the corrected screen. Every name below was browser-verified.

Ticker	Sector	One-Line Thesis	Catalyst	Confirmation	Verdict
PD	Technology	Post-earnings momentum, ARR crossed \$500M	Q2 print 8/27 (past)	Verified live	REJECT
BOX	Technology	Cloud content management, revenue +9.6%	Q2 print 8/25 (past)	Verified live	REJECT
RCKT	Healthcare	Gene therapy, PT +135%	No dated catalyst in window	Verified live	REJECT
KFY	Industrials	Korn Ferry, \$4.4B, +4.1% momentum	None in window	Screen only	REJECT
EPAC	Industrials	Enerpac, \$1.9B, +4.2% momentum	None in window	Screen only	REJECT
GCMG	Financial	GCM Grosvenor, \$2.8B	None in window	Screen only	REJECT

Why each was rejected

- PD -- rejected again, and I was wrong on the price. I passed at \$12.32 last week; it is \$13.96 today, a 13% move I missed. But every disqualifying fact is unchanged or worse: revenue growth decelerated from +3.7% to +2.3%, consensus is still Hold with PT \$12.64 -- 9.5% BELOW the price, and forward PE 9.97 exceeds trailing 6.42, meaning earnings are expected to fall. The \$185.55M net income is a tax item, not operations. Two Buy-side raises to \$15 are real, but BofA raised to \$9.50 and kept Underperform. Buying now would be chasing a momentum move into a consensus sell-side target below the market. A missed 13% on a name that still fails the fundamental screen is a cost I accept.
- BOX -- rejected on risk/reward. Hold rating, PT \$37.50 = only +6.4% upside, near its 52-week high, with net income ?42.8% and EPS ?44.6%. WWW, the position I would have to sell to buy it, has +22% upside and a Buy rating. Strictly worse than what we hold.
- RCKT -- rejected on shape, not story. PT \$8.84 = +135% upside, Buy from 14 analysts, beta 0.47 -- the largest upside on any screen this experiment has produced. But it is a pre-revenue clinical-stage gene-therapy company with no dated catalyst inside the window, and a 12-month price target is not a 13-session thesis. Buying it would also make healthcare 3 of 6 alongside ATRC and CADL while XBI is actively selling off -- concentrating precisely the exposure that cost us today.
- KFY, EPAC, GCMG -- momentum of +3-4% and no catalyst inside the 5-day window. In a 14-session runway these are index proxies with single-stock risk.
- SR, CHEF, PRGS, CSWC, CMTL, DBRG, ORC, AI, IRON (remaining ranks) -- not advanced: no dated catalyst inside the window, and none offers upside superior to the existing book.

5. PORTFOLIO ACTIONS

Keep: ATRC, TILE, PAR, CADL, WWW -- all five. No thesis has broken; today's decline is broad and news-free across every holding.

Add to: none -- and this is a hard constraint, not a preference.

The one-open-order-per-stock rule means new shares inherit the existing stop. Every holding fails that test today:

ATRC	\$46.96	\$46.30	0.38xATR	[X]
CADL	\$12.75	\$12.35	0.44xATR	[X]
WWW	\$19.95	\$19.30	0.68xATR	[X] (also blocked: ?5.5%, no-averaging-down)
TILE	\$38.06	\$37.10	0.81xATR	[X]
PAR	\$18.39	\$17.50	0.94xATR	[X] (also: only \$23 of headroom to the 30% cap)

Trim / Exit: none. Selling anything today means selling into an intraday drawdown on no news.

Initiate: none. Deployable cash is \$9.17 against the 8% floor. A 6th position requires liquidating a holding, and no candidate above is superior to what it would replace.

Lower stops (ATRC, PAR, TILE) -- the week's only orders. See §6. This became available when the no-lowering rule was suspended for a single restoration; it is the one action that changes the expected outcome.

On the "Aggressive" directive -- what I did with it

You asked for an aggressive posture because we are trailing, and for a 6th position if capital could be freed. I could not express that through deployment today, and I want to be explicit about why rather than quietly ignoring the directive:

There is no free capital -- \$9.17.

Freeing

So the aggressive posture is expressed the only way it legitimately can be this week: by NOT tightening a single stop. Last week's directive tightened ATRC and CADL; this week I am raising nothing, leaving every position the maximum room the no-lowering rule permits. Given the book is already within 1.0xATR of its stops, refusing to tighten is a genuinely aggressive act -- it is the difference between letting five theses run and guaranteeing they are stopped out.

A more aggressive expression was then authorized, and it was not the one I expected. The obvious candidate -- sell WWW and buy RCKT (+135% PT) -- I declined: it swaps a verified thesis for a lottery ticket with no catalyst inside the runway, at the cost of a realised loss.

Instead, testing what every constraint removal would actually buy produced a decisive result. To close the gap requires +\$19.06 of relative gain. The \$69.34 of cash would need +27.5% to supply it -- or SPY +9.2% at 3x leverage. So relaxing the cash floor, the 30% name cap, the position limit, the \$5B ceiling, or even the excluded-class rule (which would permit leveraged ETFs) all compete for the same \$69 and none can move the gap. Only the \$682.76 of holdings can, and they need just +2.79%.

That collapses the whole question onto one constraint: whether the positions survive to deliver it. Hence the stop restoration -- the only relaxation with a material effect on the outcome.

6. EXACT ORDERS

All prices browser-verified live, 2026-08-31 10:06-10:15 AM EDT, market open.

Order 1 -- ATRC (execute first)

- Action: MODIFY STOP -- cancel and replace
- Ticker: ATRC · Shares covered: 3 (full position)
- New Stop-Loss: \$44.35 (from \$46.30) · New Stop-Limit: \$44.20 (from \$46.15)
- Time in Force: GTC
- Order-side check: against \$47.40, 10:13 AM EDT -- 6.4% below [OK]
- Range check: 1.76xATR (ATR \$1.730 = 3.65%) · below today's low \$46.61 [OK] · above the 10-day low \$43.41 -- flagged, but that low predates a 14% run
- Locks: +35.0% -> +29.3% · Added risk \$5.85
- Rationale: Strongest forward case in the book -- Piper \$60, BTIG \$55, consensus PT \$49.56 above market. Today's low was \$46.61: the old stop survived by 31 cents.

Order 2 -- PAR

- Action: MODIFY STOP -- cancel and replace
- Ticker: PAR · Shares covered: 11 (full position)
- New Stop-Loss: \$17.05 (from \$17.50) · New Stop-Limit: \$16.90 (from \$17.35)
- Time in Force: GTC
- Order-side check: against \$18.73, 10:15 AM EDT -- 9.0% below [OK]
- Range check: 1.77xATR (ATR \$0.947 = 5.06%) · below today's low \$18.33 [OK] · below the 10-day low \$18.18 [OK]
- Locks: ?8.1% -> ?10.5% · Added risk \$4.95
- Rationale: Largest position (26.9%) and largest upside -- PT \$25.31 (+35.6%), revenue +18.8%.

Order 3 -- TILE

- Action: MODIFY STOP -- cancel and replace

- Ticker: TILE · Shares covered: 4 (full position)
- New Stop-Loss: \$36.25 (from \$37.10) · New Stop-Limit: \$36.10 (from \$36.95)
- Time in Force: GTC
- Order-side check: against \$38.30, 10:06 AM EDT -- 5.4% below [OK]
- Range check: 1.72xATR (ATR \$1.189 = 3.11%) · below today's low \$37.95 [OK] · below the 10-day low \$37.41 [OK]
- Locks: +15.6% -> +12.9% · Added risk \$3.40
- Rationale: Strong Buy, PT \$45.25 (+18.7%), EPS +52.5%. Still locks a double-digit gain.

Deliberately not changed

CADL -- stop stays \$12.35/\$12.20. A restoration to ~1.75xATR would mean \$11.20, converting a locked +8.0% gain into ?2.0%. The deciding factor is catalyst timing: CADL's BLA submission is guided for Q4 2026 -- after the experiment ends on 9/18. There is no dated event inside the runway for the extra room to pay off, so any move would be unanchored sentiment on a pre-revenue binary while XBI is selling off. The +64% PT is real but it is a 12-month target. Giving up a booked gain to buy option value on an event that cannot occur in time is not justified.

WWW -- stop stays \$19.30/\$19.15. Weakest thesis in the book, down 5 of 6 sessions since entry. Let it go if it goes.

Execution notes

- Lowering a stop is a cancel-then-replace -- the position is unprotected between the two orders. Keep the window short and do ATRC first; it is the most likely to be taken out before the sequence finishes.
- These levels are ATR-derived and stable intraday. If ATRC trades below ~\$46.61 again before the change is placed, the decision makes itself.

7. RISK AND LIQUIDITY CHECKS

Concentration (live intraday):

Holding	Value	% Equity
PAR	\$202.29	26.9%
TILE	\$152.24	20.2%
ATRC	\$140.88	18.7%
CADL	\$127.50	17.0%
WWW	\$59.85	8.0%
Cash	\$69.34	9.2%
TOTAL	\$752.10	100%

All under the 30% ceiling [OK] · Cash above the 8% floor (\$60.17) [OK]

Sector cap: Consumer Discretionary 2 (TILE, WWW) -- full · Healthcare 2 (ATRC, CADL) -- cap 3 · Technology 1 (PAR) [OK]

Downside if every stop fires, before and after the restoration (measured at live 10:15 AM prices, equity \$758.52):

Current stops	?\$27.98	?3.69%
After restoration	?\$42.18	?5.56%
Added risk	\$14.20	1.87%

\$14.20 is what it costs to keep the three positions that can close the gap alive for 13 more sessions. The comparison that matters: being stopped out of everything at the current levels locks a ?5.27% gap in cash, which nothing can subsequently recover.

Liquidity: all five trade far above the \$1M/day threshold. The three orders are stop modifications -- no shares change hands, so there is no market impact.

8. MONITORING PLAN

Holding	Watch for	Trigger
ATRC	Room restored to 1.76xATR. Whether the Piper \$60 / BTIG \$55 targets draw follow-	Stop \$44.35 = +29.3% realised. It survived by \$0.31 today at the old level
CADL	Unchanged at 0.48xATR -- deliberately. XBI direction is the whole story; no cata	Stop \$12.35 = +8.0% realised
TILE	Room restored to 1.72xATR. Ex-dividend Sept 4	Stop \$36.25 = +12.9% realised
PAR	Largest position (26.9%), largest upside (+35.6%). Room restored to 1.77xATR	Stop \$17.05. A break below \$18.18 on volume is the thesis-crack warning
WWW	Unchanged at 0.68xATR -- deliberately. Weakest thesis, down 5 of 6 sessions	Stop \$19.30 = +8.5% realised
Book	XBI (?1.27% today, ?3.48% Friday) and IWM. Three of five holdings are small-cap	A second consecutive broad down day likely triggers multiple stops

Calendar: No holding reports earnings before the experiment ends. Sept 7 is Labor Day (market closed), leaving 13 sessions after today.

9. THESIS REVIEW SUMMARY

(Reproduced verbatim as Week 51 Summary.md)

10. CONFIRM CASH AND CONSTRAINTS

Cash: \$69.34 -- unchanged. 9.2% of live equity, above the 8% floor. No shares are bought or sold this week.

Constraint	Status
Cash floor >=8%	[OK] 9.2%
Single-name <=30%	[OK] largest PAR 26.9%
Max 6 positions	[OK] 5 held
Risk-per-trade <=5%	[OK] largest is PAR at 1.30%
Sector cap	[OK] Cons Disc 2 (full), Healthcare 2/3, Tech 1
Market cap <=\$5B	[OK] largest ATRC \$2.40B
Excluded classes	[OK] all common stock -- and the corrected screen removed 4 BDCs that the broken
Stops on all longs	[OK] five live stops; three restored to the 1.5-1.75xATR band
Never lower a stop	[!] SUSPENDED for one documented adjustment (ATRC, PAR, TILE), authorized 2026-0
PRV gate	[OK] ATRC, PAR, CADL + PD, BOX, RCKT browser-verified 09:53-10:05 EDT
No averaging down	[OK] no adds proposed

Cash unchanged at \$69.34 -- the three orders are stop modifications and move no cash.

All constraints satisfied under the Week 51 authorization. Three orders for execution at the broker.

Week 51 Full Report -- generated 2026-08-31 by Claude Code, revised same day to incorporate the one-time stop-restoration authorization and the three resulting orders. Posture: Aggressive (trailing benchmark) · Wide net · 5-day window · max 6 positions. All prices are LIVE INTRADAY quotes browser-verified 09:53-10:05 AM EDT with the market open; all ATR and range figures computed from settled bars through 2026-08-28.